NATIONAL INSTITUTE OF TECHNOLOGY RAIPUR

ELITE LEAF



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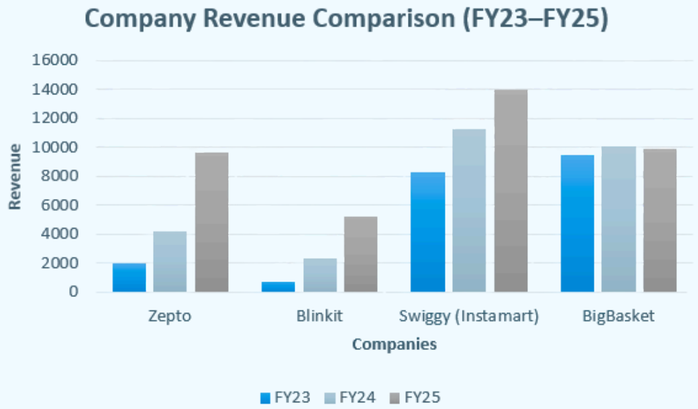


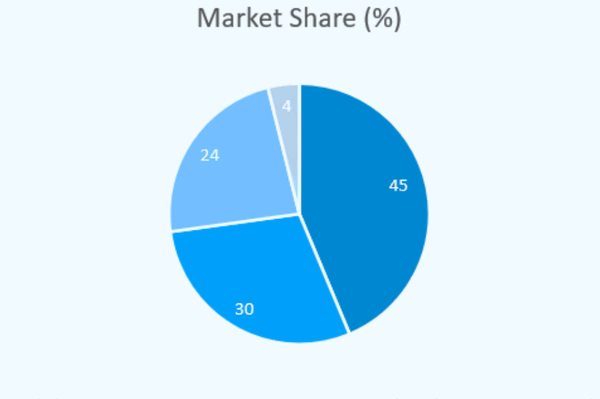
HIMANSHU KUMAR

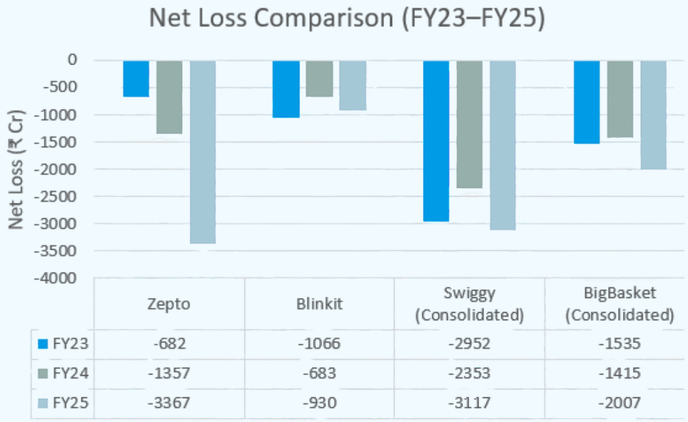
ZEPTO'S RACE AGAINST TIME: REDEFINING QUICKCOMMERCE SUSTAINABILITY

Zepto Analysis

Zepto, founded in 2021, is India's quick-commerce pioneer delivering groceries in 10 minutes, which is founded by two young boys who dropout from Standford University. Privately valued at $7 billion pre-2026 IPO, it ranks third among giants (22-30% share). Blinkit (~$32-34B market cap) leads with 48-50% share; Swiggy Instamart ($11-13B) follows. Zepto battles fiercely for second spot in the booming sector.







	Zepto	Blinkit	Swiggy (Consolidated)	BigBasket (Consolidated)
FY23	-682	-1066	-2952	-1535
FY24	-1357	-683	-2353	-1415
FY25	-3367	-930	-3117	-2007

Revenue Streams of Zepto

Product Margins

Zepto earns margin by buying products at wholesale price and selling at MRP or slightly higher price

Delivery Fees

Charged on:
Low-value orders
Peak hours (surge pricing)

Advertising & Listing

Brands pay to:
Show products at top
Display banners in app

Private Label Products

Zepto sells its own branded products
Eliminates middlemen → higher profit margins

Problems & Their Root Causes

1 Heavy Cash Burn

- High costs raised overall cash burn heavily
- Supply issues created frequent ingredient shortages
- Weak demand caused sharp drop in cafe orders

Key Challenges in Tier 2 and 3 Cities

- **Low order density reduces store viability**
- **Poor roads delay last-mile deliveries**
- **Low average order value initially**
- **Trust concerns on product freshness**

2 Intense Quick Commerce Competition

- Low order density in new stores
- Rising customer acquisition and marketing costs
- Weak customer retention after subscription exit

Zepto's Operations and Rule Problems

- **FDA suspended Zepto store license**
- **Poor hygiene triggered store closures**
- **Safety scandals lowered order volume**
- **Compliance fixes raised operating costs**

3 Dark Patterns, Trust Erosion

- Customers feel deceived and uninstall
- Regulatory fines raise operational costs
- Churn reduces lifetime revenue value

Zepto's IPO Delays and Investor Doubts

- **Investor skepticism slowed new funding access**
- **IPO postponement boosted cash burn pressure**
- **Investor disbelief lowered Zepto valuation sharply**
- **IPO uncertainty damaged employee retention badly**

Possible Solutions

Boost AOV to Escape Profit Crisis

AOV (400-500) ----> AOV(800+)

Tier 1 Cities

- Premium Bundles & Upsells
- AI Personalized High Value Recommendations
- Cross-Sell Non-Grocery Items
- Loyalty Programs Rewarding Orders Above ₹800

Tier 2&3 Cities

- Value Combos & Bulk Discounts
- Local Produce & Affordable Add-ons
- Simple "Frequently Bought Together" Bundles
- Minimum-Order Incentives

Despite 129-150% revenue growth to ₹9,669-11,110 Cr in FY25, Zepto's losses widened to ₹3,367 Cr with ₹73-78 burn per order. High fixed costs of ₹100-150+ per delivery on low AOV (~₹400) remain the core issue.

In Tier-1 cities, Zepto should push premium bundles, AI personalization, and loyalty rewards above ₹800. In Tier-2/3 cities, value combos, bulk discounts, and family packs suit cost-sensitive customers to lift AOV to ₹800+.

Higher AOV spreads fixed costs, improves contribution margins, accelerates store EBITDA positivity, and builds a strong path to overall profit and IPO success.

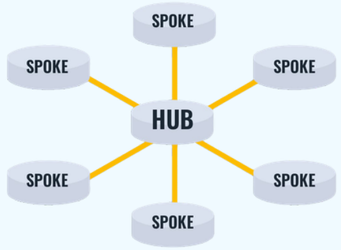
Current Dark Store Model

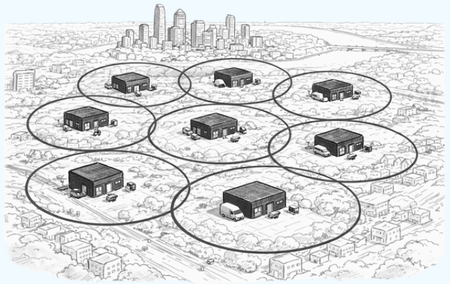
Current Dark Store Model (Zepto)

- Each store holds full product inventory
- Located near customers for faster delivery
- Operates independently with own staff
- High density network across urban areas
- Ensures 10–15 minute delivery promise

Demerits

- High rent and operational costs per store
- Inventory duplication across multiple stores
- Low efficiency in low-demand locations
- High manpower and maintenance expenses
- Difficult to scale profitably in new cities





Proposing Hub and Spoke Model

Hub-and-Spoke Model

- Central hub stores bulk inventory
- Small dark stores act as spokes
- Frequent replenishment from hub to stores
- Spokes hold only fast-moving products
- Optimized inventory distribution system

Advantages over Current Model

- Reduces inventory duplication significantly
- Lower rent due to smaller store size
- Better inventory management and
- forecasting
- Higher efficiency with fewer dark stores
- Lower overall operational and logistics cost

Possible Solutions

Zepto own Private Product Framework

How Private Label Drives High Margins

Own-brand staples, meat & FMCG with direct sourcing capture 25-40% margins. Bundles raise AOV by 30-50%, improving unit economics and profitability.

TIER-1

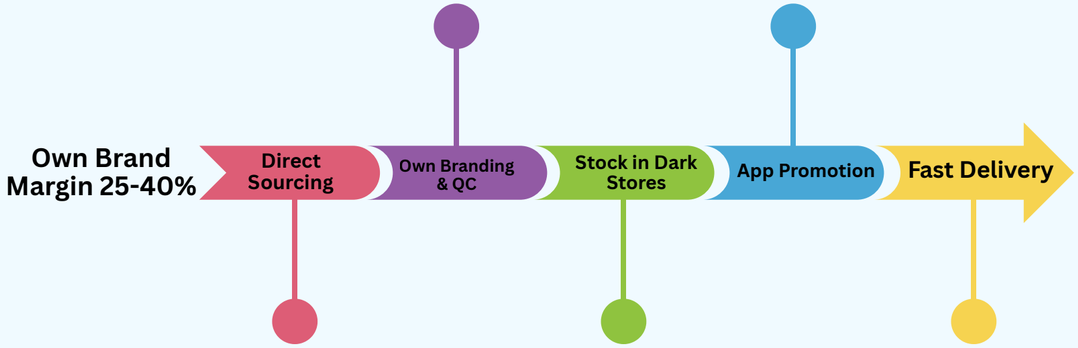
- Dense network, dark stores
- 10–15 minute delivery
- Premium own-brand bundles (Staples)
- 25–40% margins
- High AOV +30–50%

TIER-2&3

- Local sourcing
- Smaller dark store hubs
- Affordable own brands
- 20–45 delivery
- Steady AOV growth

Private Label Strategy: Tier 1 vs Tier 2 & 3 Cities

Tier-1: Dense dark stores, 10-15 min delivery, premium own brands.
Tier-2/3: Local sourcing, smaller hubs, affordable brands, 20-45 min delivery with higher relative margins.



Zepto Subscription Model (Zepto Pass)

